European Commission



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FLASH EUROBAROMETER 559

Startups, scaleups and entrepreneurship

EUROBAROMETER **EXECUTIVE SUMMARY**
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TELEPHONE EUROBAROMETER

Survey conducted by Ipsos European Public Affairs at the request of the European Commission, Directorate-General for Internal Market, Industry, Entrepreneurship and SMEs

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https://europa.eu/eurobarometer

1. SMEs' challenges and business environment

For this Flash Eurobarometer, a total of **12 653 SMEs across the EU27** were interviewed. Of these, **5% are categorised as startups and 18% as scaleups**.

Startups are young companies, founded in 2020 or later, that recently introduced an innovation and plan to grow in terms of turnover and/or employment.

Scaleups are companies founded prior to 2020, that have achieved significant growth since 2021 in employment and/or turnover.

1.1. Challenges being faced by SMEs

Regulatory obstacles or administrative burden is the top-tanking problem for SMEs, with 64% of respondents identifying this as an area that poses problems for their SME. This is followed – albeit at a distance – by **payment delays**, selected by 39% of respondents and **access to finance,** mentioned by 27%.

About one in five SMEs (19%) reply that **access to skills, including managerial skills** is a problem for them and about one in six (17%) mention **difficulties with digitalisation**.

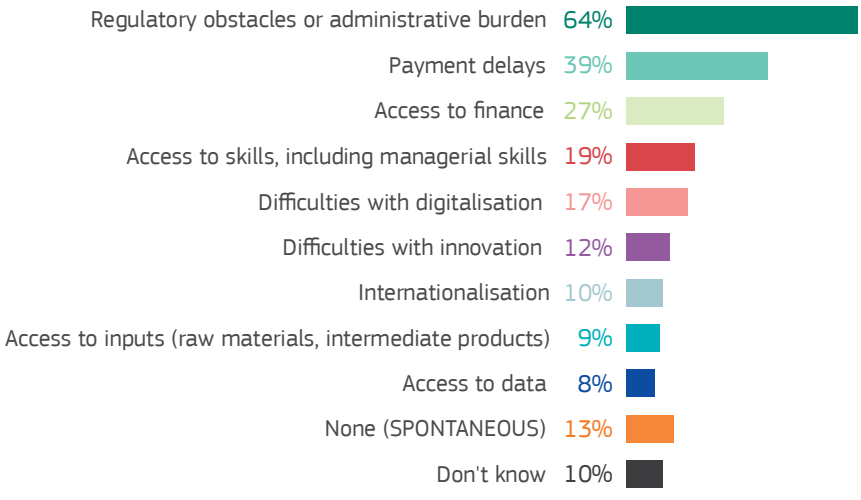
The remaining problems listed in the survey are each cited by around one in then SMEs: difficulties with innovation (12%), internationalisation (10%), access to inputs (raw materials, intermediate products) (9%) and access to data (8%).

Startups face challenges similar to those faced by average SMEs in the EU. Regulatory obstacles or administrative burdens rank first (71%), followed by payment delays (39%), access to finance (27%) and access to skills (24%). However, for some of these challenges, the share of startups experiencing the challenge is higher than for average SMEs in the EU: regulatory obstacles or administrative burdens (71% vs 64%), payment delays (46% vs 39%) and access to skills (24% vs 19%).

The challenges faced by **scaleups**, on the other hand, closely resemble those faced by the average EU SMEs.

Q1t From the following list, please indicate the area that poses the biggest problem for your enterprise in general.
From the same list, are there any other areas that pose a problem for your enterprise? [MULTIPLE ANSWERS]

(SMEs, EU27)



(%, EU27) Base: n= 12 653 (SMEs)

1.2. SMEs' business environment

SMEs generally have a positive assessment of their business environment, with each time a majority of SMEs giving a positive rating to all but one aspect of their business environment. More than three-quarters of SMEs (78%) rate their business environment in terms of **infrastructure for businesses**, such as available office space, internet connectivity, etc. as good; a similar figure is observed for **overall strength and performance of their regional business environment** (76%).

Close to two-thirds of respondents (65%) rate their SME's **access to and collaboration with business partners**, including other enterprises, public sector, educational institutions, research organisations, etc. as good. This share is also 65% for **the legal and administrative environment**. About six in ten SMEs (59%) rate **costs (energy, wages, etc.)** as good.

The next three factors are each rated as good by a slim majority of SMEs: **availability of staff with the right skills, including managerial skills** (55%), **the quality of support services for businesses provided by private and public actors** (53%), and **access to private and public finance** (52%). A smaller share (44%) rate **the availability of support to help enterprises become more sustainable** as good.

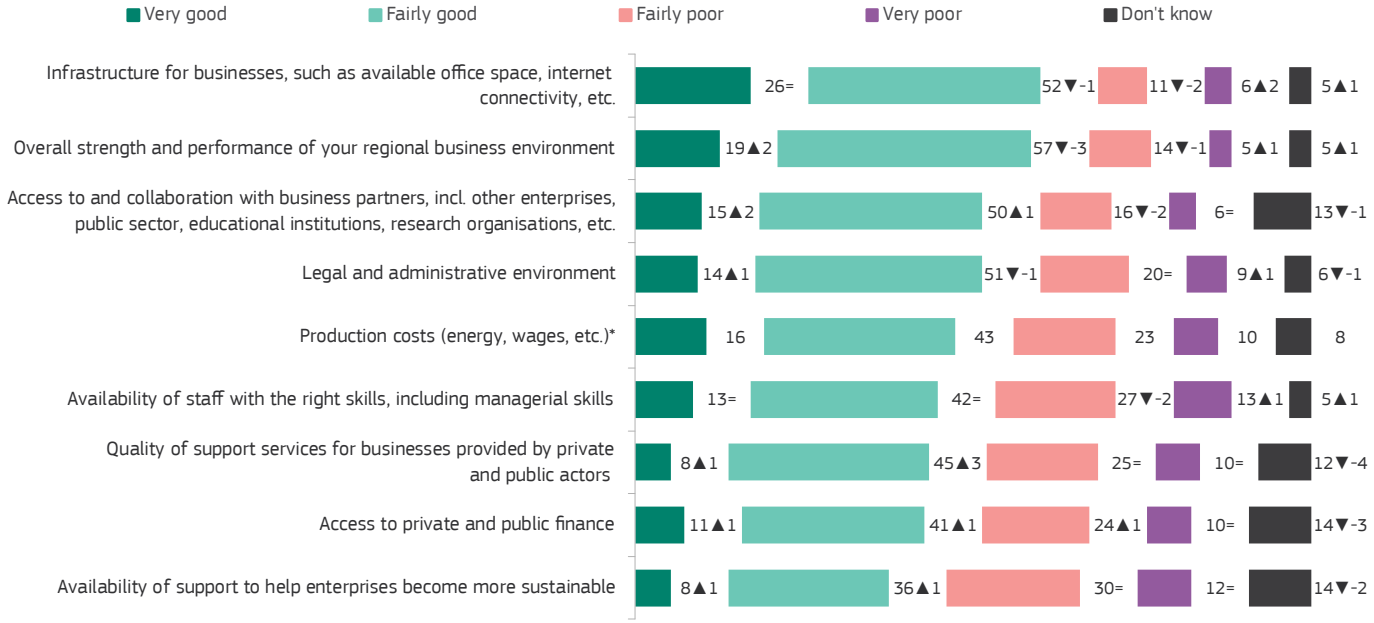
The results for this question are comparable to those **observed in 2020** (Flash Eurobarometer 486).

Startups are more likely than the average EU SME to rate access to and collaboration with business partners as good (76% vs 65%), and to a lesser degree, production costs (63% vs 59%). However, they are somewhat less likely to give a good rating to assess the availability of staff possessing the right skills, including managerial skills (51% vs 55%) and the ability of enterprises to enhance sustainability (40% vs 44%).

Scaleups tend to rate the overall strength and performance of their regional business environments better than the average EU SME (80% vs 76%), as well as access to both private and public finance (56% vs 52%).

Q2 How would you rate your business environment in terms of:

(SMEs, EU27)



Note: * New statement (not asked in 2020)

(%, EU27) Base: n=12 653 (SMEs)
▼▲ Evolution 2024-2020 (comparison with Flash Eurobarometer 486, conducted in February-May 2020)

1.3. Access to external financing

When asked about their ability to obtain external financing in case of need, a majority of SMEs respond positively. Specifically, **30% of SMEs say they would 'definitely' be able to obtain external financing, while 38% believe they would 'probably' be able to do so.**

On the other hand, around one in four SMEs **express doubts about their ability to secure external financing**. Of these, 17% say they would 'probably not' be able to obtain such financing, and 9% state they would 'definitely not' be able to do so.

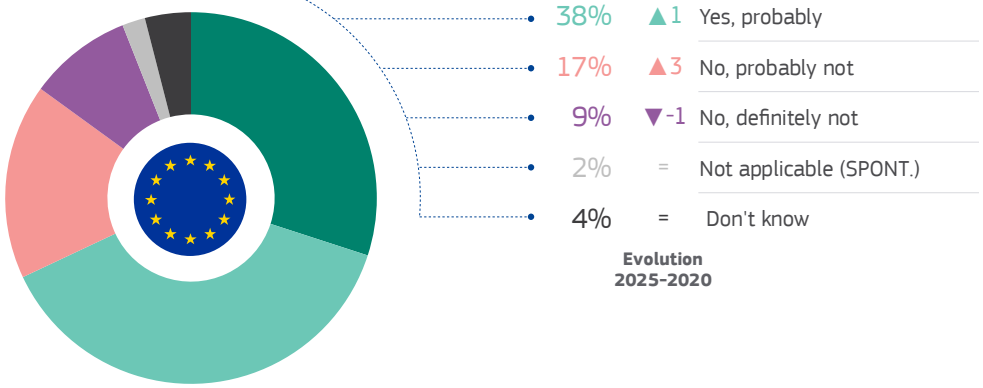
Compared to 2020, the share of SMEs saying they would 'definitely' be able to get external financing has decreased by three percentage points, while the share saying they would 'probably not' be able to get external financing in case of need has increased by three percentage points.

Startups are more likely than the average EU SME to state that they would **'probably'** be able to obtain external financing (44% vs 38%).

A larger share of **scaleups**, as opposed to the average EU SME, report that they would **'definitely'** be able to obtain external financing (37% vs 30%).

Q3 Would your enterprise be able to obtain external financing in case of need?

(SMEs, EU27)



(%, EU27) Base: n=12 653 (SMEs)
▼▲ Evolution 2024-2020 (comparison with Flash Eurobarometer 486, conducted in February-May 2020)

2. SMEs' growth and barriers to growth

2.1. Growth in terms of employees and turnover

SMEs were asked about their growth since 2021. In terms of the **number of employees**, 15% of SMEs reply that they have grown at least 30% (-6 pp compared to 2020) and another 30% have grown by less than 30%. About four in ten SMEs (39%) report that the number of employees has remained stable since 2021. About one in seven SMEs (14%) report a decrease in number of employees. This figure has increased by four percentage points compared to 2020.

In terms of **turnover**, 29% of SMEs indicate growth of less than 30%, while 17% report growth of at least 30%. About three in ten SMEs (31%) report that turnover has remained stable. About one in five SMEs (19%) have seen a decrease in turnover compared to 2021 (+3 pp compared to 2020).

2.2. SMEs' plans to grow

SMEs were also asked about expected growth in the next few years. SMEs are almost equally split between those who plan to **grow their workforce** in the next few years (46%) and those who do not (48%). Moreover, there are 28% of SMEs planning to grow by less than 10% per year, 13% by between 10% and 20% per year and 5% by more than 20% per year.

Two-thirds (67%) of SMEs **plan to grow in terms of turnover** in the next few years. About a third of SMEs (34%) plan to grow by less than 10% per year, nearly one in four (23%) plan to grow by between 10% and 20% per year and one in ten (10%) by more than 20% per year. In contrast, just over one in four SMEs (27%) do not plan to grow in terms of turnover in the next few years.

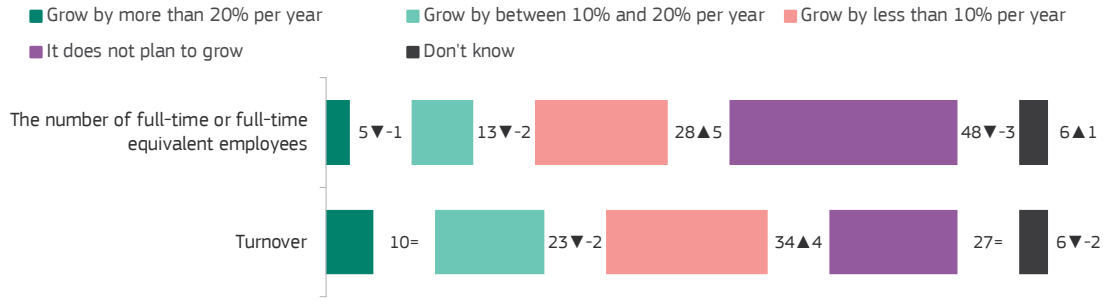
Among SMEs that do *not* plan to grow in size or in turnover, 62% state that there is currently no plan to grow beyond their current size, but under different circumstances, growth may be possible, and 31% indicate that there is no plan for their company to grow beyond its current size under any circumstance, not now nor any time in the future. Looking at the total population of EU SMEs, this translates into 7% of SMEs with no plans to grow, under any circumstance.

Expectations for growth are more prominent among **startups**: 18% of startups anticipate annual turnover growth beyond 20%, in contrast to 10% of average EU SMEs. Similarly, while 35% of startups do not plan to increase employee count, this figure is 48% for EU SMEs overall.

Scaleups display a similar trend, although less distinctly. A slightly smaller share of scaleups, in comparison to the average EU SME, report having no plans for turnover (23% vs 27%) or workforce growth (41% vs 48%).

Q5 Now thinking about the next few years, how much does your enterprise plan to grow on average per year, if at all, in terms of:

(SMEs, EU27)



(%, EU27) Base: n=12 653 (SMEs)
▼▲ Evolution 2024-2020 (comparison with Flash Eurobarometer 486, conducted in February-May 2020)

2.3. Growth strategies

SMEs planning to grow either in terms of turnover or in terms of workforce were asked about their growth strategies[1].

Four in ten growth-oriented SMEs (40%) plan to grow **as a result of operating in growing markets**. More than one in three SMEs plan to grow by **entering new markets** (36%) or by **introducing some kind of innovation** (34%). About three in ten (31%) anticipate growth through **increased digitalisation in their SME**.

Seven in ten growth-oriented SMEs (70%) **plan to grow in their own country**, compared to 22% planning to grow **in other EU countries** and 14% **in non-EU countries.**

Among these SMEs, 39% report **having a strategic growth plan in place** (a roadmap outlining how a business will expand and increase its market share).

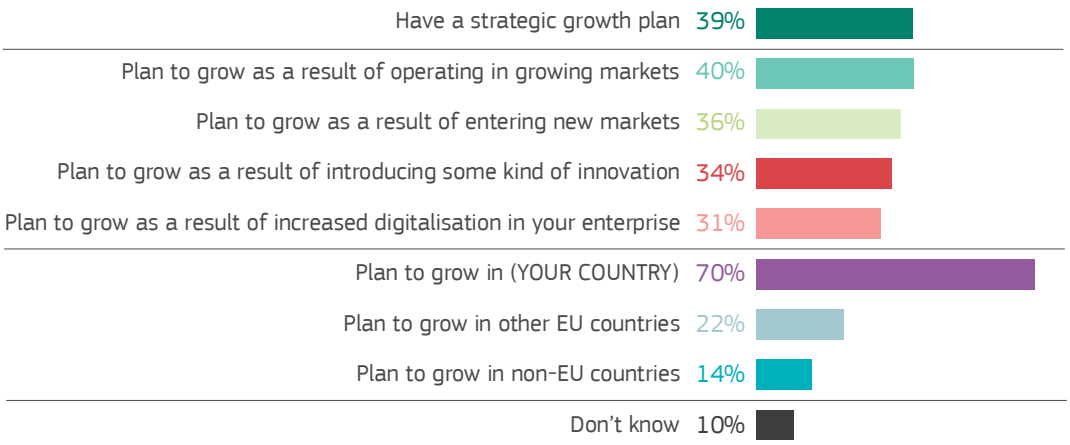
Compared to 2020, the number of SMEs that have a strategic growth plan in place has increased by five percentage points (from 34% to 39%). There is also a higher share of SMEs that plan to grow as a result of operating in growing markets (40% vs 33%) and that plan to grow as a result of entering new markets (36% vs 32%).

The most significant differences between startups, scaleups and EU SMEs overall are observed in plans for growth driven by innovation and digitalisation.

Startups are more likely to plan for growth through innovation (45% vs 34% for average EU SMEs) and increased digitalisation (41% vs 31% for average EU SMEs). Similarly, **scaleups** are more inclined than the average EU SME to report planning growth through innovation (39% vs 34%) and digitalisation within their enterprises (36% vs 31%).

Q6a In terms of growth either in employment or in turnover, does your enterprise... [MULTIPLE ANSWERS]

(SMEs, EU27)



(%, EU27) Base: n=9 667 (SMEs) **– Companies envisaging growth**

[1] Response shares for this question exceed 100% because respondents could select multiple responses.

2.4. Barriers to growth (among SMEs planning to grow)

SMEs envisaging growth were asked which barriers could prevent them from growing. The largest share of these SMEs (43%) mention **difficulties in retaining or hiring skilled staff** as a growth barrier. This barrier is followed by **high energy prices** (38%), **competition from other enterprises** (38%) and **regulatory or administrative requirements** (35%). At least about a quarter of growth-oriented SMEs identify the following as growth barriers: **limited demand for products and services** (29%), **a lack of innovative regulatory environments (e.g. regulatory sandboxes to test out new innovations)** (27%) and **difficulties in raising capital for the necessary investments domestically** (24%).

A higher share of **startups** (50%) compared to average EU SMEs (43%) report difficulties in retaining or hiring skilled staff. Startups also more frequently cite regulatory or administrative requirements (41% vs 35%) and the potential loss of benefits associated with SME status (25% vs 19%) as growth barriers.

The barriers reported by **scaleups** closely resemble those cited by the average EU SMEs.

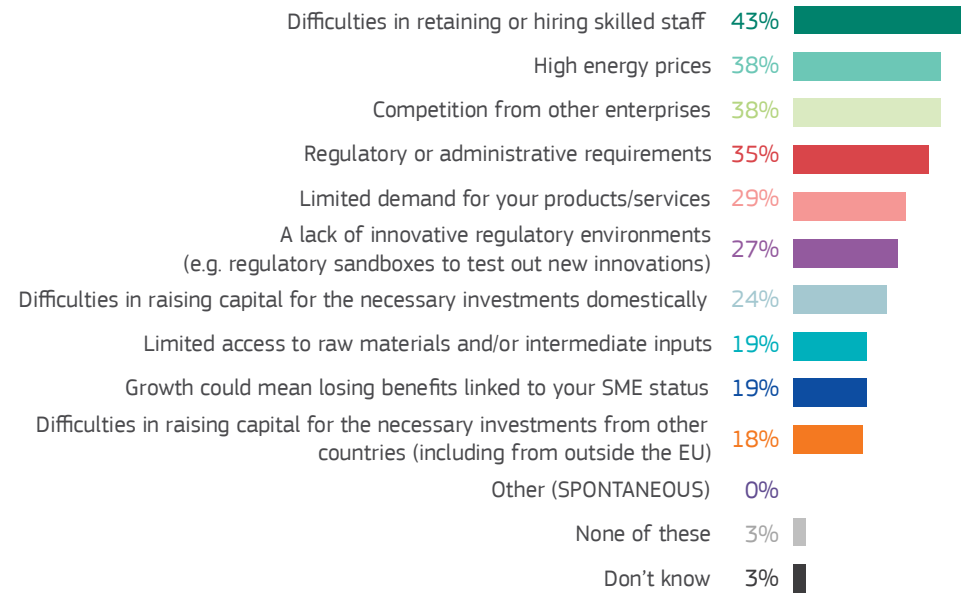
2.5. Barriers to growth (among SMEs currently not planning to grow)

SMEs that are currently not planning to grow (but that do not completely exclude future growth) were also asked about potential barriers to growth. **High energy prices** (43%) and **regulatory or administrative requirements** (43%) are the two barriers mentioned the most by these SMEs. These are followed by **competition from other enterprises** (35%), **limited demand for products/services or saturation of the market** (32%) and **difficulties in retaining or hiring skilled staff** (32%). The rank order of growth barriers is similar for SMEs envisaging growth and those not planning to grow; the exception being retaining or hiring skilled staff, which is a more important barrier for SMEs envisaging growth.

A similar question was asked to the small group of SMEs that do not plan to grow under any circumstance (7% of all EU SMEs) and that also exclude future growth. By far the largest share of these SMEs (63%), however, say that the current size of their business perfectly corresponds to their ambitions.

Q7a Your enterprise plans to grow in the next few years. Which of the following could be barriers to growing your enterprise? [MULTIPLE ANSWERS]

(SMEs, EU27)



(%, EU27) Base: n= 9 667 (SMEs) – **Companies envisaging growth**

3. Cross-border trade and barriers to cross-border growth

3.1. Cross-border sales

A large majority of SMEs (70%) **only operate in their own country**.[2] About a quarter (26%) of SMEs **export goods or services to other EU countries** and 10% export **goods or services to other countries outside of the EU**. 7% of SMEs export goods or services to North America, 6% to the Middle East and Africa, 5% to Latin America and the Caribbean, 4% to China and 5% to the rest of Asia and the Pacific. The share of SMEs that only operate in their own country has decreased by three percentage points compared to 2020 (from 73% to 70%).

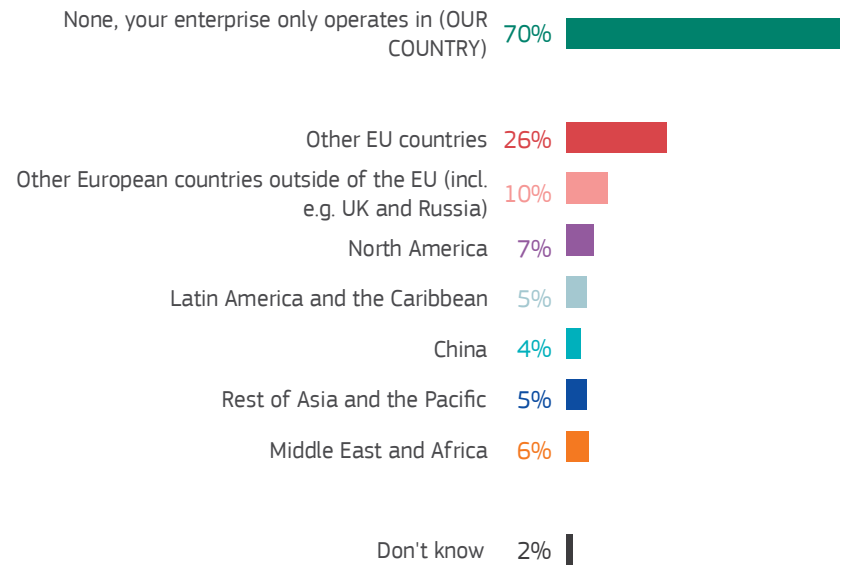
Among SMEs that export to countries outside the EU, nearly six in ten (58%) report that **less than 25% of their 2024 turnover was accounted for such exports to countries outside of the EU**. One in five (20%) reply that between 25% and 50% of their 2024 turnover was accounted for by exports of goods and services to countries outside of the EU and 16% say that more than 50% of their 2024 turnover was accounted for such exports.

Startups typically export to the same international markets as average EU SMEs. However, a much higher share of startups (39% vs 16%) report that over 50% of their total turnover in 2024 came from exports to countries outside the EU.

Scaleups show slightly higher export activity within the EU, at 29% vs 26% for average EU SMEs.

Q8 To which international markets, if any, did your enterprise export goods or services in 2024? [MULTIPLE ANSWERS]

(SMEs, EU27)



(%, EU27) Base: n= 12 653 (SMEs)

[2] Response shares for this question exceed 100% because respondents could select multiple responses.

3.2. Barriers to cross-border growth (among SMEs exporting to other EU countries)

Among SMEs that export to other EU countries, **difficulties in understanding the different business environments**, including due to language issues (33%) is an area that poses problems in terms of further cross-border growth. Other challenges cited often are **access to information or rules and requirements** (30%), **taxation issues** (29%) and **business authorisations** (28%).

Smaller shares of SMEs that export to other EU countries mention the following barriers: different national product rules (18%), authorisations applicable to staff, including recognition or professional qualifications (16%), differences in public procurement practices (15%) and issues related to labour law, such as posting of workers and social security (10%).

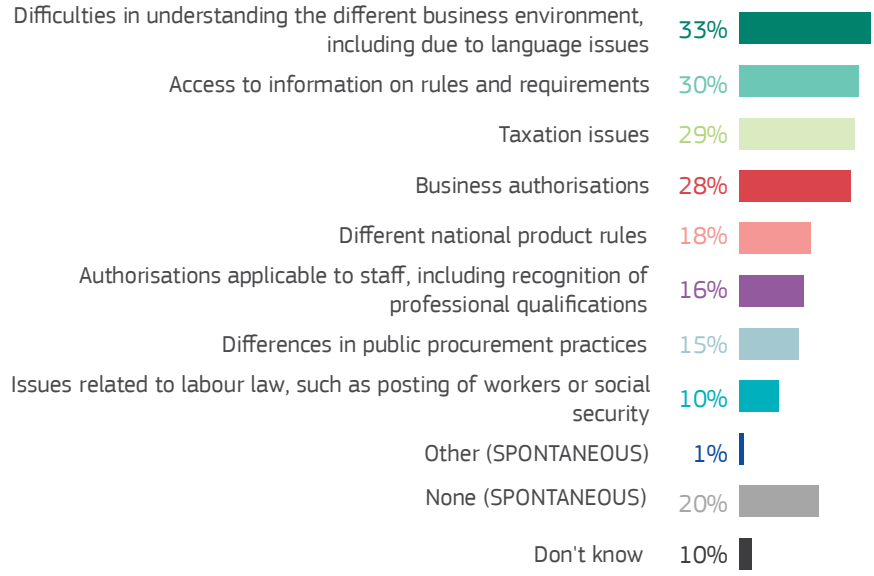
One in five SMEs that export to other EU countries (20%) say that they **do not face any of the obstacles** listed in the survey.

Among SMEs exporting to other EU countries, **startups** more frequently cite difficulties in understanding diverse business environments as a barrier to cross-border growth (53%) compared to the average EU SMEs (33%). Additionally, a higher share of startups report issues with authorisations applicable to staff (26% vs. 16%) and labour law-related issues (20% vs. 10%).

On the other hand, **scaleups** that export to other EU countries (28%) are slightly less likely than average EU SMEs (33%) to mention difficulties in understanding different business environments as a barrier to cross-border growth.

Q10a From the following list of more general issues, please indicate up to three areas that pose the biggest problem for your enterprise in terms of growing cross-border in other EU countries. [MULTIPLE ANSWERS]

(SMEs, EU27)



(%, EU27) Base: n= 3 651 (SMEs) – **Companies selling cross-border in the EU**

3.3. Barriers to cross-border growth (among SMEs only operating in their own country)

Quite a similar order of barriers can be noted regarding SMEs that do not sell cross-border in the EU. For these SMEs, the biggest obstacles that prevent their enterprise from growing cross-border are **difficulties in understanding the different business environment, including due to language issues** (20%), **access to information on rules and requirements** (20%) and **taxation issues** (20%).

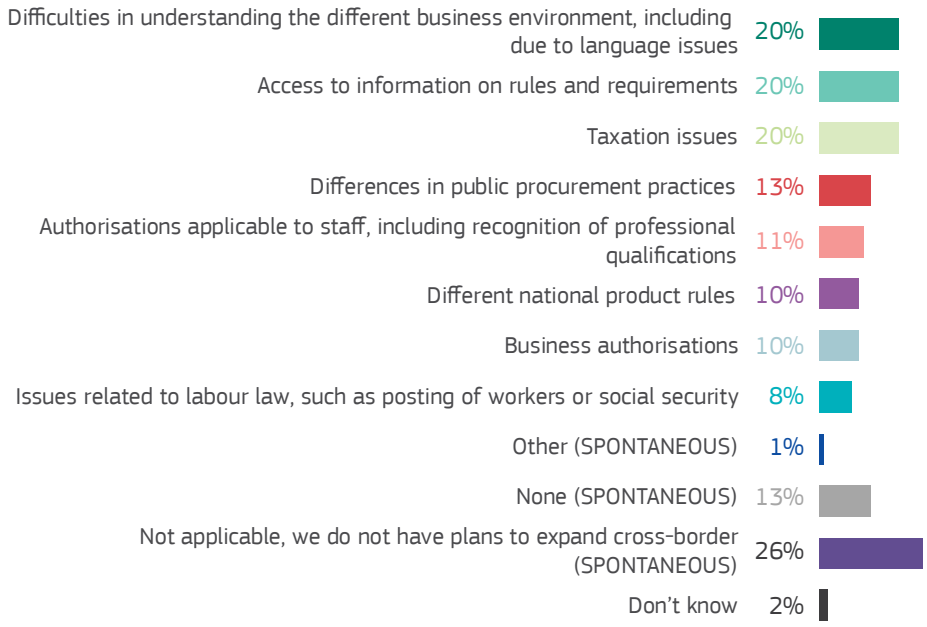
About quarter of SMEs that currently only operate in their own country (26%) *spontaneously* say that there are no obstacles, as they **do not have plans to expand cross-border**.

Less than one in five **startups** (17%) currently operating only within their own country state they have no plans for cross-border expansion, compared to a higher share of average EU SMEs (26%). More startups report taxation issues (32% vs 20%) and different national product regulations (16% vs 10%) as barriers to expanding cross-border in other EU countries.

Scaleups currently operating only within their own country face similar growth issues as average EU SMEs.

Q10b From the following list of more general issues, please indicate up to three areas that prevent your enterprise from growing cross-border in other EU countries. [MULTIPLE ANSWERS]

(SMEs, EU27)



(%, EU27) Base: n=8 760 (SMEs) – **Companies not selling cross-border in the EU**

3.4. Specific challenges to scaling up in other EU countries

SMEs were also presented with a list of more specific issues that could pose a barrier to scaling up in other EU countries.[3] From this list of specific issues, the two most cited challenges are **taxation and Value Added Tax (VAT)** (30%) and **permitting and authorisations** (28%). All other challenges are selected by fewer SMEs; for example, 17% refers to posting of workers, 13% to recognition of professional qualifications and 8% to waste shipment rules.

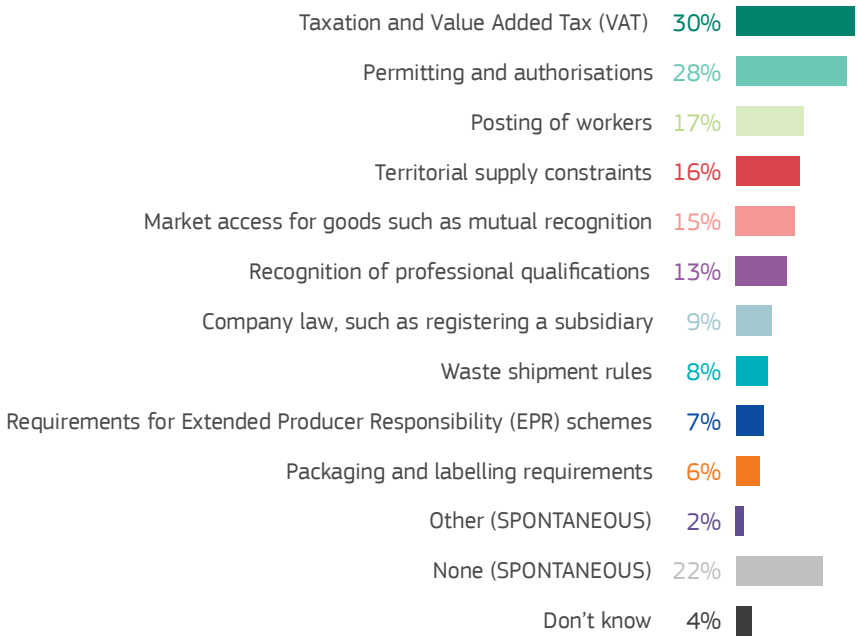
More than one in five SMEs (22%) do not select any of the specific issues listed in the survey.

Although there are no important differences between **startups** and average EU SMEs regarding specific issues, startups (14%) are less likely than average EU SMEs (22%) to state that none of the issues are barriers to scaling up in other EU countries.

Scaleups generally face similar challenges preventing them from scaling in other EU countries as average EU SMEs.

Q11 From the following list of specific issues, please indicate up to three barriers that prevent your enterprise from scaling up in other EU countries. [MULTIPLE ANSWERS]

(SMEs, EU27)



(%, EU27) Base: n= 9 254 (SMEs) – All companies (excl. those with 'No plans to expand cross-border' in Q10b)

[3] SMEs that *spontaneously* indicated in the previous question (Q10b) that they do not have plans to expand cross-border in the EU were not presented with this question.

4. Innovation and advanced technology

4.1. Recent innovation activities

A quarter of SMEs (25%) report that, in the past 12 months, they have brought **a new or significantly improved product or service to the market.** About a fifth of SMEs (21%) have introduced **an innovation with an environmental benefit**, including innovations with an energy or resource efficiency benefit. Similar figures are seen for **social innovations**, such as new products, services or processes that have the aim of improving society (20%), **a new or significantly improved production process or method** (19%) and **a new way of selling goods or services** (19%). A somewhat smaller share of SMEs have introduced **a new organisation of management or a new business model** (16%): Less than one in ten SMEs (6%) have introduced **an innovation for which they have received a patent or have put in a patent application**. Another small share (7%) report to have introduced another type of innovation.

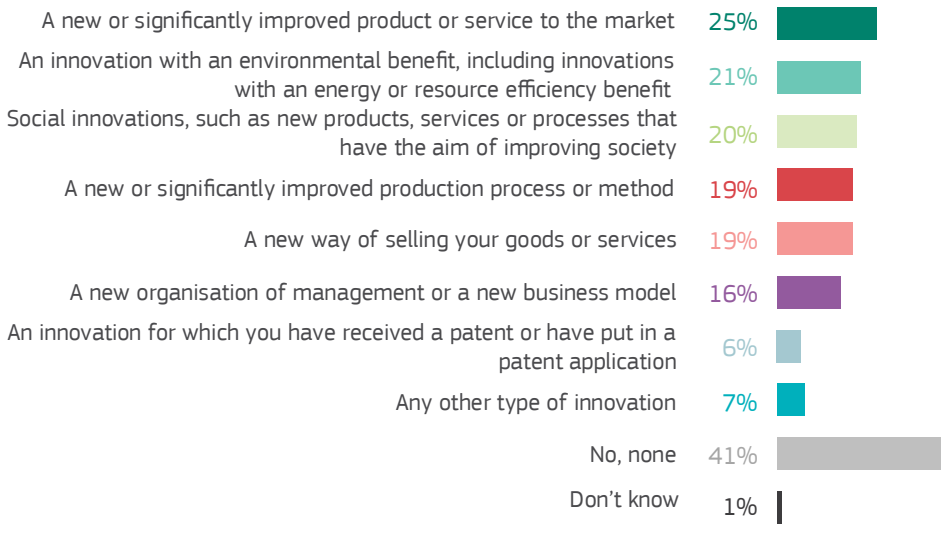
About four in ten SMEs (41%) **have not introduced any type of innovation**. These results are comparable to those observed in 2020.

For an SME to be classified as a startup, it must have introduced at least one form of innovation. Among **startups**, the most prevalent types of innovation include launching a new or significantly improved product or service (49%), followed by the adoption of a new or significantly improved production process or method (38%).

Scaleups are more inclined than average EU SMEs to have introduced an innovation (63% compared to 58%).

Q12 During the past 12 months, has your enterprise introduced any of the following types of innovations? [MULTIPLE ANSWERS]

(SMEs, EU27)



(%, EU27) Base: n= 12 653 (SMEs)

4.2. Barriers to innovation

Difficulties in predicting the market response (36%) is the most common barrier to innovation for EU SMEs. This is followed by **legal or administrative environment** (29%), **lack of skills, including managerial skills** (23%), **lack of private financial resources** (20%) and **lack of public financial resources** (19%).

Lack of technology infrastructure (16%), **lack of collaboration partners, such as other enterprises, universities, research organisations, etc. for innovation projects** (15%), **difficulties in accessing or using technical standards** (11%) or **difficulties with protecting intellectual property** (9%) are each cited by fewer SMEs.

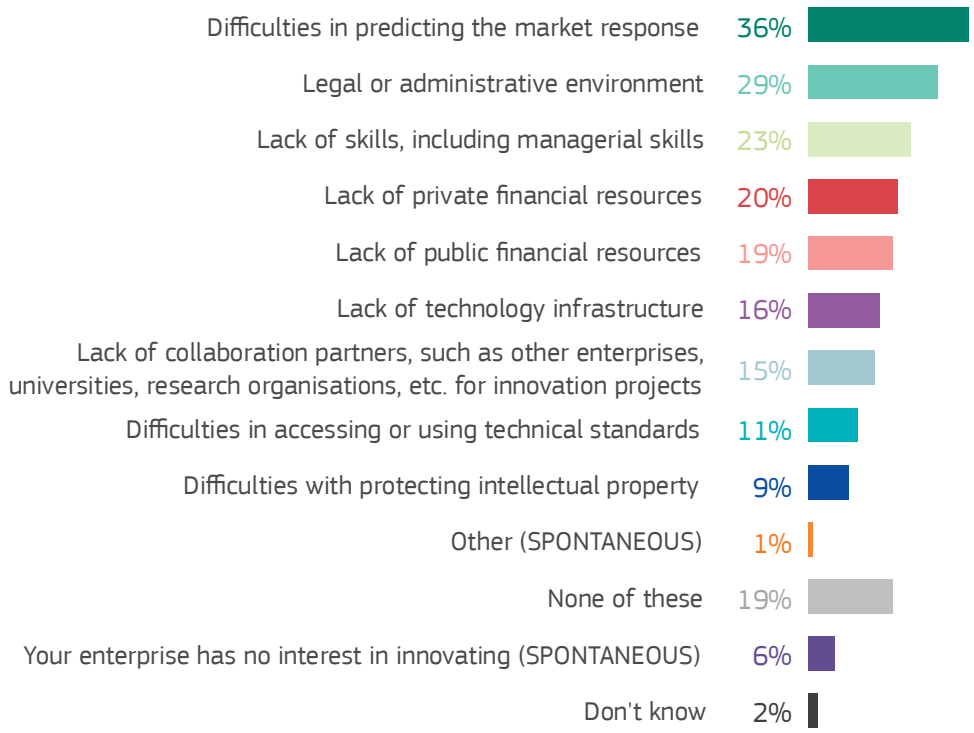
About one in five SMEs (19%) **do not face any barrier to innovation.**

A larger share of **startups** report difficulties in predicting the market response (47% vs 36%). Startups also more frequently cite a lack of skills, including managerial skills (32% vs 23%) and a lack of collaboration partners (22% for startups vs 15% for EU SMEs).

The innovation barriers cited by **scaleups** closely resemble those for the average EU SMEs.

Q13 Which of the following, if any, is a barrier to innovation in your enterprise? [MULTIPLE ANSWERS]

(SMEs, EU27)



(%, EU27) Base: n= 12 653 (SMEs)

4.3. Adoption of advanced technologies

Close to half of SMEs (46%) have adopted **cloud computing, i.e. storing and processing files or data on remote servers hosted on the internet and big data analytics**. About a third (32%) say the same about **digital technologies for security, cybersecurity** and about a quarter (24%) about **the Internet of Things, e.g. smart sensors**.

Other technologies have been adopted by fewer SMEs: artificial intelligence, e.g. machine learning, Large Language Models (14%), clean and resource-efficient technologies (12%), robotics, i.e. robots used to automate processes for example in construction or design, etc. (9%), advanced materials, e.g. polymers (6%), biotechnology, e.g. genomics, gene therapy, biofuel (6%), micro- and nanoelectronics and photonics (5%) and blockchain (4%).

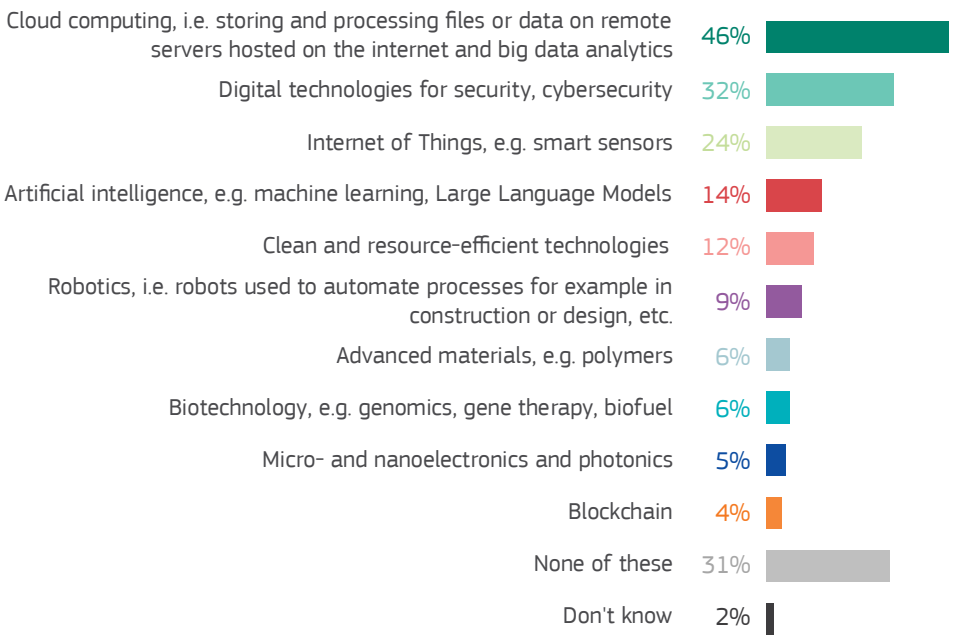
About three in ten SMEs (31%) report not having adopted **any of the technologies listed in the survey.**

Notable differences between **startups** and EU SMEs overall include uptake of cloud computing (60% vs 46%), the Internet of Things (31% vs 24%) and artificial intelligence (21% vs 14%).

Scaleups are more likely than average EU SMEs to have adopted digital technologies, particularly in security, cybersecurity (37% vs 32%) and artificial intelligence (19% vs 14%).

Q14 Which of the following advanced technologies, if any, has your enterprise adopted to date? [MULTIPLE ANSWERS]

(SMEs, EU27)



(%, EU27) Base: n= 12 653 (SMEs)